place, was to act as the watch-dog of the government and could exercise a veto pending final decision of the Governor General in Council. Thus, there was enough provision to ensure that the bank functioned within the financial policy of the government.

The Imperial Bank Act provided for a Local Board which was to meet at least once a week. The Local Board in turn was to appoint a committee of three to superintend the affairs of the LHO.[6] On account of the difficulties of holding frequent meetings of the full Central Board, some of its work was delegated to a managing committee. To avoid provincial jealousies the Central Board had no fixed location but sat alternately in Bombay and Calcutta and met at regular intervals. The managing committee met more often.

Schedule I of the Act which was divided in two parts, specified the business which the bank was authorized to carry on and transact, and also laid down certain restrictions on such business. The Act not only maintained the earlier practice of the Presidency Banks of drawing, accepting, discounting, buying, and selling of bills of exchange and other negotiable securities payable in India or in Ceylon, but also extended it for the first time to bills of exchange ‘payable outside India’, subject to the directions of the Governor General in Council, for and from or to such banks as the Governor General would approve.

The conducting of foreign exchange business on its own, however, remained outside the ambit of its business.[7] The restrictions imposed on the business of the Imperial Bank mirrored those governing the Presidency Banks. The only major difference was the extension of the maximum duration of loans from three to six months.

The Imperial Bank of India Act, 1920, provided for the establishment and maintenance of at least 100 new branches within five years of the commencement of the bank of which at least a quarter were to be determined by the government. The agreement of 1921 carried the provision a step further by providing for the opening of 100 new branches in different localities in India, other than the Presidency towns and places where a branch of a Presidency Bank existed.[8]

The Presidency Banks had enjoyed the right of note issue (till 1862), and these notes together with their capital and the large government balances at their disposal, formed the bulk of the investible resources of the banks. But